

THE UNITED STATES 2007

1. Overview of the system

Generally, unemployed persons can receive unemployment compensation for a maximum of 26 weeks. There are a number of provisions for low income families. The most important are Food Stamps and Temporary Assistance for Needy Families (TANF) which are granted to families in need. Responsibility for administration of Food Stamps is shared, with the Federal government paying for the benefit costs and setting broad rules and the States directly administering the program. Responsibility for TANF belongs to the individual States. An Earned Income Tax Credit is available to poor working families. The tax unit is the individual, but couples have the option to be taxed jointly. Tax and benefit systems vary from State to State. The State of Michigan is used to represent a typical manufacturing region. Michigan TANF and Unemployment Insurance benefits are somewhat above the average for all States.

1.1. *Average worker wage (AW¹)*

The 2007 AW level is USD 41 312.

2. Unemployment insurance

The US Department of Labor oversees the system, but each State administers its own programme. Eligibility conditions differ from State to State, as do maximum benefit levels. Generally, all States require that UI-recipients be able to, and available for, work.

2.1 *Conditions for receipt*

2.1.1 *Employment conditions*

The minimum employment record is 20 weeks, with a minimum gross salary of USD \$2997 per annum in Michigan.

2.1.2 *Contribution conditions*

Employers pay 0.06 to 10.3 per cent of the first USD 9,000 for each covered employee in Michigan. Tax rates among employers vary depending on their experience with respect to unemployment.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

2.2 Calculation of benefit amount

2.2.1 Calculation of weekly benefit amount (WBA)

4.1 per cent of high quarter wages during the base period plus USD 6 for each dependent up to 5 dependants in Michigan. The benefit is bound by a minimum WBA of USD 81 (USD 1,134 per year), and a maximum of USD 362 per week (USD 9,412 per year), in Michigan.

2.2.2 Income and earnings disregards

The benefit is not means-tested. Income from work less than or equal to gross benefit amount is withdrawn at a rate of 50 cents to the dollar. Earnings above gross benefit amount are subtracted from 1.5 times the gross benefit amount. Individuals earning more than 1.5 times their gross benefit amount are ineligible to receive benefits.

2.3 Tax treatment of benefit

Unemployment insurance benefit income is subject to both Federal and State government income tax, but is exempted from social security taxes.

2.4 Benefit duration

Duration of benefit is calculated by dividing 43% of reference earnings by the recipient's weekly benefit, with a minimum of 14 weeks and a maximum of 26 weeks for Michigan.

2.5 Treatment of particular groups

2.5.1 Young persons

None.

2.5.2 Older worker

None.

3. Unemployment assistance

There are no unemployment assistance schemes in the United States.

4. Social assistance

The Supplemental Security Income (SSI) Programme is a means-tested, federally administered income assistance programme which provides monthly cash payments in accordance with uniform, nationwide eligibility requirements to needy aged, blind and disabled persons. Its operation is beyond the scope of this publication.

Food Stamps are designed primarily to increase the food purchasing power of eligible low-income households to a point where they can buy a nutritionally adequate low-cost diet. This benefit scheme is classified – for the purposes of this publication – as social assistance.

4.1 *Conditions for receipt*

Households who meet the income tests described below and who meet other requirements (such as sufficiently low assets and immigration rules, for example) are eligible for food stamp benefits. Able-bodied adults without dependants are eligible for 3 months of benefits in a 36-month period, unless they meet a work requirement (work 20 hours or more per week, or participate in a qualifying work activity). To be entitled to the benefit, households need to pass two income tests (except for households where all members receive TANF or SSI, who qualify automatically):

- Basic (gross) monthly income must not exceed 130 per cent of the poverty guidelines.
- Counted (net) monthly income must not exceed 100 per cent of the poverty guideline.

The net income guideline for a family of four in 2007 was USD 1667 per month.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

Basic (gross) monthly income is the cash household income. Earned income before federal, state and local taxes, and social security contributions is counted. The Earned Income Tax Credit (EITC) (see Section 8) is not included in basic monthly income. Also excepted are unanticipated, irregular or infrequent income up to USD 30/quarter and income from tax refunds.

Counted (net) monthly income is computed as follows (2007):

- Basic gross monthly income
- TANF
- Virtually all other cash assistance and retirement income
- Standard deduction: USD 134*
- 20 per cent of gross earnings deduction in recognition of taxes and work related expenses
- Court ordered child support payments deduction made to non-household members
- Out-of-pocket medical expenses deduction for elderly (aged 60 or more) or disabled household members in excess of USD 35
- Out-of-pocket dependent-care expenses deduction up to:

Maximum per dependant under 2:	USD 200
Maximum per dependant 2 or older:	USD 175
- Rent and utility expenses deduction if it exceeds 50 per cent of net counted income so far and with a maximum of USD 417. For calculation purposes, the average expenses in Michigan in 2006 was USD 614.

* Beginning in FY 2003, the standard deduction is equal to 8.31 percent of the poverty level which varies by household size. The deduction can be no less than \$134. In FY 2007, households of 3 persons or

less had a standard deduction of \$134, 4-person households had a deduction equal to \$139, 5-person households had a deduction equal to \$162 and for 6 or more persons, the standard deduction was equal to \$86

As low income families are expected to spend 30 per cent of their income on food, the maximum benefit amounts are decreased by 30 per cent of counted (net) income.

Maximum Monthly Food Stamp allotments are linked to family size (see table).

Maximum monthly food stamp allotments (in USD per month)*

Household size (persons)	Maximum allotments	Gross income eligibility limit	Net income eligibility limit
1	155	1,062	817
2	284	1,430	1,100
3	408	1,799	1,384
4	518	2,167	1,667
5	615	2,535	1,950
6	738	2,904	2 234
7	816	3,272	2,517
8	932	3,640	2,800
Each additional person	+117	+369	+284

* Rates from 1 October 2006 to 30 September 2007.

4.2.2 *Income and earnings disregards*

Food Stamps are not included in the means test of any other benefit.

4.3 *Tax treatment of benefit*

Food Stamps are not taxable.

4.4 *Benefit duration*

Indefinitely, as long as the conditions are fulfilled. Food Stamp benefits are issued monthly.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

None.

4.5.2 *Older workers*

Households with elderly (aged 60 and over) members: several program rules are relaxed for these households: they do not need to meet the basic (gross) income guideline; they may a shelter deduction greater than the maximum for other households; and they may have more countable assets than other households. Other administrative requirements are also relaxed.

Households with disabled members: in 2006 these households had the same program rules as the elderly. {{NOTE: The asset limit was raised in FY 2003 to \$3,000 to match elderly}}

4.5.3 *Unemployed, healthy childless adults*

Healthy, childless adults are subject to strict work requirements and time limits on their participation. They may receive benefits for only three months in any 36-month period unless they work, meet work requirements, are exempted under other provisions of law, or live in an area waived from work requirements due to insufficient jobs.

4.5.4 *Immigrants*

The 2002 Farm Bill restored Food Stamp eligibility to most legal immigrants provided they meet the income and asset eligibility requirements. All disabled legal immigrants had eligibility restored effective October 1, 2002, and all legal immigrants in the country for at least five years were had their eligibility restored April 1, 2003. Children under age 18 had their eligibility restored on October 1, 2003. Those admitted as refugees, granted asylum, or given a stay of deportation are eligible without a waiting period, as are legal immigrants with a military connection. Today, the only legal immigrant group who remain ineligible are nondisabled adults who have not yet been in the U.S. for at least five years, were not admitted as a refugee, and do not have a military connection..

5. **Housing benefits**

The Federal government provides housing assistance to low-income households through three mechanisms:

- a) Low-rent public housing, which is owned by one of over 3 500 Public Housing Authorities (PHAs) authorised under state law.
- b) Housing choice vouchers, which subsidise private-market rentals and are also administered by PHAs.
- c) Direct contracts with some 20 000 owners of certain private projects.

5.1 ***Conditions for receipt***

Housing assistance is not an entitlement. Access to assistance is rationed through waiting lists maintained by PHAs and private owners. These entities are permitted to select households for assistance according to preferences they themselves determine, subject to compliance with the civil rights laws and other statutes.

All assisted households must be low-income, which for purposes of housing programs means that gross annual income is less than 80 per cent of area median income. Area median income in the Detroit area was USD 66,700 in Fiscal Year 2007 for a family of 4, and USD 59,100 in Grand Rapids.

However, Federal admissions policies and the condition of the assisted stock generally limit the utilisation of assisted housing to families with very low incomes. For example, 75 per cent of new admissions to the voucher program must have incomes below 30 per cent of area median income.

Among the poorest families, not more than one-fourth of eligible households are assisted, and program participation declines as incomes rise.

5.2 ***Calculation of benefit amount***

The contribution to rent of the assisted tenant is, in general, 30 per cent of adjusted income. The primary adjustments are USD 480 per year for each child and USD 400 per year for each elderly or

disabled adult. Medical expenses greater than 3 per cent of gross income are also deducted, but only if the household has an elderly or disabled head or spouse. The tenant's contribution to rent is reduced by the amount of an allowance for monthly utility payments, which is specific to the area and basic characteristics of the unit.

For public housing, the Federal subsidy to the PHA is a formula amount intended to cover direct costs, minus the rent roll.

For housing choice vouchers, the amount paid to the owner is the difference between the reasonable rent (the rent paid by unassisted tenants for comparable units) and the tenant contribution. However, if the unit selected by the tenant has a rent exceeding the PHA payment standard, the tenant must pay the excess. The payment standard may be anywhere from 90 to 110 per cent of the Fair Market Rent (FMR) for the metropolitan area. The FMR in 2007 for Detroit was USD793 per month for a two-bedroom unit; in Grand Rapids it was USD 700.

For project-based contracts with owners, the amount paid to the owner is the difference between the contract rent agreed upon with the Federal government and the tenant contribution.

Tenant contribution (prior to utility allowance) must exceed a minimum rent. For Federal contracts with private owners, the minimum rent is USD 25 per month. For public housing and vouchers, the PHA determines the minimum rent within a range between USD 0 and USD 50 per month, inclusive.

5.3 Tax treatment of benefits

Housing assistance is not taxable.

5.4 Benefit duration

There is no statutory limit on duration of assistance. Families may lose assistance through fraud, other criminal activity, or failure to comply with lease obligations.

5.5 Treatment of particular groups

Benefits are pro-rated to households with undocumented non-citizens. For example, a household with five members, of whom one is undocumented, would receive 80 per cent of the subsidy otherwise available.

6. Family benefits

6.1 Conditions for receipt

The Temporary Assistance for Needy Families (TANF) program (enacted in 1996) replaced the Aid to Families with Dependent Children (AFDC) program and the Job Opportunities and Basic Skills Training (JPBS) program ending the Federal entitlement to assistance. States, Territories, and Indian Tribes (henceforth referred to as States) determine eligibility and benefit levels and services provided to needy families. Although States may impose various conditions on the receipt of assistance, a family must, based on Federal law include at least one child or the mother must be pregnant.

6.2 Calculation of benefit amount

There are no Federal TANF rules or requirements regarding the State's calculation of benefits. Each State may establish its own benefit levels and determine its own benefit calculation. TANF is the successor to the AFDC program, which was started as a benefit for the children of widows and orphans. Over time, most of the beneficiary families were headed by unmarried mothers. When AFDC began, the benefit enabled mothers without a spouse to support them to care for their children at home. Now, recipients of TANF are expected to work and become self-sufficient within a State-imposed time-limited period for which benefits are available, but generally no longer than 60 months.

The benefit is calculated based on the number of family members using the following amounts as a guideline (in Region 4/Wayne County-Michigan):

- 1 person: USD 276 (*i.e.* pregnant mother expecting first child)
- 2 people: USD 371
- 3 people: USD 459
- 4 people: USD 563
- 5 people: USD 659
- 6 people: USD 792
- 7 people: USD 868

6.2.2 Income and earnings disregards

Except where another Federal statute specifies that certain income or other benefits should be disregarded, each State may decide which income to consider in calculating the benefit amount. There is considerable variation among the States in their treatment of earned income. In calculating the monthly benefit, Michigan disregards the first USD 200 of income earned plus 20 per cent of any additional earnings; across all states, the fixed income disregard ranges from zero to USD 250 and the variable disregard from zero to 100 per cent up to the limit. In general, states with high fixed disregards tend to have smaller variable disregards and vice versa. Some states (not Michigan) impose a "family cap" on benefits. The initial benefit is based on the size of the family at the time of application, and benefits do not increase for additional children conceived after eligibility is determined.

6.3 Tax treatment of benefit

Family benefits are not taxable.

6.4 Benefit duration

Eligibility and benefits are determined monthly. Federal funding for TANF assistance is limited to 60 months for each family. The 60 months do not have to be consecutive, but it is a lifetime limit. Each State has the option of shortening the time limit. States may use their own funds to provide benefits after the expiration of the 60 months. Many States have either shortened the time limit (for example, several States have a 24 month time limit) or limited the number of months that a family may receive benefits within a certain period of time. For example, the family may receive benefits for 24 months within a

60-month period, but there is a lifetime limit of 60 months of federally-funded assistance with up to 20 percent of the caseload exempted from the Federal time limit due to hardship).

6.5 *Treatment of particular groups*

Federally recognised Indian Tribes now have the opportunity to administer their own TANF program in a manner similar to States. States have the flexibility to give special treatment to the victims of domestic violence. States have the option to certify that they will assist victims of domestic violence by: screening for them when they apply for TANF; referring these clients to counselling and supportive services; and waiving time limits, residency requirements, child support co-operation requirements, and family cap provisions.

7. **Childcare for pre-school children**

Schooling is compulsory from age 6.

According to the Federal Interagency Forum on Child and Family Statistics [using data from the 2005 National Household Education Survey (NHES)], 61 percent of children from birth through age six (and not yet in kindergarten) are in some type of non-parental child care. Primary childcare arrangements among these children vary by age-group as follows (<http://childstats.gov/americaschildren/tables.asp>, Table FAM3.A):

Type of Care by Age of Child	Parental Care Only	Total in Non-Parental Care	Care in Home by a Relative	Care in Home by a Non-Relative	Centre-Based Care
Ages 0-2	49%	51%	22%	16%	20%
Ages 3-6 (Not in Kindergarten)	24%	74%	23%	12%	57%

Note: Centre-based programs include day care centres, pre-kindergartens, nursery schools, Head Start programs, and other early childhood education programs.

Source: Federal Interagency Forum on Child and Family Statistics. *America's Children in Brief: Key National Indicators of Well-Being, 2007*. Washington, DC: US Government Printing Office.

7.1 *Out-of-pocket childcare fees paid by parents*

Fees paid by parents for full-time formal center-based care vary substantially; some families may pay 100% of costs, others may have fully subsidized care, while others may have partially subsidized care. Eligibility for child care subsidies is based on state-determined criteria for family income and work requirements. Eligibility guidelines and the amount of subsidy an eligible family receives vary widely by state.

According to the 2005 National Household Education Survey (National Center for Education Statistics, <http://nces.ed.gov/pubs2006/2006075.pdf>, Table 8), across all families mean weekly out-of-pocket expenses for non-parental care arrangements for children under age 5 were \$60/week for relative care, \$105/week for non-relative care, and \$86/week for centre-based care. Families with children under

age 5 years and below 100 per cent of the federal poverty line had mean weekly out-of-pocket expenses for child care of \$38/week for relative care, \$56/week for non-relative care, and \$54/week for centre-based care. (Note: These estimates indicate per child expenses. For children with more than one care arrangement, only expenses within that given type of care are summed to calculate the total spent per week.)

Child care services are primarily provided through a market-based system at rates determined by market forces. Rates vary substantially based on region, state, age of child, and type of child care setting. The Child Care and Development Fund (CCDF) is the government child care subsidy program, which provides subsidies to low-income working families to offset the cost of purchasing child care, while maintaining the parental choice afforded by the market system. CCDF is a federal block grant program, providing funds directly to states to operate a child care subsidy program designed to meet local needs. States have broad flexibility in determining eligibility guidelines (up to a maximum of 85% of state median income), reimbursement rates, & co-payment amounts, as well as the scope and quality of services.

Reimbursement rates and co-payment amounts are not federally mandated. States determine the allocation and level of benefits. In 2006 and 2007, 12 states cap reimbursement rates at 75% of the local market rate or higher and 27 states indicated that rates vary across categories of care. Co-payment rates are based on a percentage of family income (41 states) more often than a percentage of the cost of care (6 states) or the state's reimbursement rate ceiling (4 states). In 2006 and 2007, 9 states waive co-payment fees for *all* families at or below the poverty level; 38 states waive co-payment fees for *some* families with incomes at or below the poverty level; 4 states required fees from all families, even if incomes were at or below poverty (Child Care Bureau, CCDF Report of State Plans, FY 2006-2007). States may waive fees for other reasons, such as receipt of TANF cash assistance, child protective services, zero countable income, and for teen parents. Nationally in fiscal year 2005, 24% of families receiving child care subsidies did not have a co-payment. Including families with no co-payment, the mean co-payment amount in fiscal year 2005 was 5% of family income. Excluding families with no co-payment, the mean co-payment was 6% of family income.

Child care fees are tax deductible through the Child and Dependant Care Tax Credit (see Calculation of Benefit Amount section below). The tax credit is non-refundable, so families that do not pay taxes do not benefit from the credit.

When applying for food stamp benefits, child care fees can be deducted up to USD 175 per month for children ages 2 years and older and up to USD 200 per month for children under age 2 years. Some states apply similar disregards for families applying for TANF cash assistance.

7.2 Child-care benefits

The major program for federal funding for child care services is the Child Care and Development Fund (CCDF). Under the CCDF, states receive grants from the federal government to operate child care subsidy programs. Additionally, there are two block grant programs that provide child care funding: Temporary Assistance for Needy Families (TANF) and the Social Services Block Grant (SSBG). TANF is the cash assistance program; states may transfer up to 30 per cent of their TANF block grant to CCDF or spend TANF funds directly on child care. The SSBG program provides funding to states for many social services including child care. CCDF requires States to serve families through a single, integrated child care system; TANF funds that are transferred into CCDF are part of those integrated systems; TANF funds used directly for child care and SSBG funds provide separate child care programs in some states and are integrated into the CCDF system in other states. Under CCDF, the majority of subsidised child care services are available to eligible parents through certificates or vouchers, but 18 states also have contracted

programs to purchase child care slots. (Note that under certificates, as well as contracted programs, the actual payment is generally due to the provider; only a small percentage of funds – 4 percent in fiscal year 2006 – are paid as cash directly to parents). Parents may select any legally operating child care provider – including child care centers, family members, neighbors, family child care programs, after-school programs, and faith-based programs. Child care providers funded by CCDF must meet basic health and safety requirements set by states and tribes. These requirements must address prevention and control of infectious diseases, including immunizations; building and physical premises safety; and minimum health and safety training. Data are presented in this section from the most recent year available.

Another major source of support for child care services is the Child and Dependent Care Credit, which provides tax assistance to families who pay for child care in order to work in paid employment.

In Fiscal Year 2006, over USD 11 billion of federal and related state funds was available for CCDF, TANF, and SSBG child care. Through CCDF, TANF and SSBG-funding streams, an estimated 2.4 million children were served on an average monthly basis in 2005 (the most recent year for which data are available). In 2005, USD \$3.5 billion provided assistance under the Child and Dependent Care Tax Credit to 6.5 million taxpayers. (<http://www.irs.gov/pub/irs-soi/05inalcr.pdf>). About half of the states offer child and dependant care tax credits or deductions to families in addition to the federal tax credit; eligibility limits and benefit levels vary widely.

7.2.1 *Conditions for receipt*

Subsidies are for families receiving, leaving, or at risk of dependency on TANF, as well as low-income working families. Federal law provides each state with broad discretion in determining how its child care program will operate, such as setting eligibility guidelines, reimbursement rates, and co-payments. Federal law does currently limit the maximum level for eligibility to be 85 per cent of the State median income and requires States to give priority to very low income families. Parents must be working or attending job training or education, or the child must be in need of protective services. Typically a child must be under age 13 to be eligible. However, children with special needs may be eligible up to 19 years old. Eligibility limits set by states range from 34 per cent of SMI to 85 per cent of SMI, with 46 states setting limits below the federally-mandated allowable maximum of 85 per cent. On average in fiscal year 2006, the income eligibility level is 61 per cent of SMI. For a family of three, Michigan set the level of eligibility in Fiscal Year 2006 at 41 per cent of the State median income and had no waiting list.

7.2.2 *Calculation of benefit amount*

CCDF and TANF child care benefits amounts are set by the state and vary by income and number of children. According to administrative data for fiscal year 2005, the weighted average monthly CCDF subsidy among the 50 States and District of Columbia was USD 546 per family; family co-payments averaged USD 67 per month. (The weight is in proportion to the number of families/children served by CCDF in each State). These amounts include care for children of all ages, full and part-time care, and care by relatives as well as family day care homes and child care centres. Among children receiving a CCDF subsidy in fiscal year 2005, 57 per cent were in centre-based care. For families under 100 per cent of the federal poverty line, the monthly average co-payment was USD 31 (across all types of care); for families over 100 per cent of poverty but below 150 per cent of poverty, the average was USD 88; and for families over 150 per cent of poverty, the average was USD 144.

In Michigan, the average monthly subsidy was USD 292 per child and USD 585 per family in Fiscal Year 2005; family co-payments average USD 27 per month. Among children receiving CCDF subsidies in

fiscal year 2005, 14 per cent were in centre-based care. Child care is subsidised on a sliding scale in Michigan based on gross monthly income and family size. The ceiling income for subsidy eligibility ranges from USD 1 607 for family size of 2 to USD 4 634 for family size 10 or more. Co-payments range from 5 per cent to 30 per cent of Michigan's child care reimbursement rate ceiling. Reimbursement rate ceilings vary by age of child, type of care, and by locality. For centre-based care, the rate ceiling is USD 2.85 per hour for children ages 0 to 2 ½ years and USD 2.25 per hour for children ages 2 ½ years and older. For example, for a child over age 2 ½ years in centre-based care for 40 hours/week, the weekly subsidy is USD 90, and the weekly co-payment fee would range from USD 4.50 to USD 27, depending on family income. Michigan waives co-payment fees for families receiving TANF cash assistance, for families with children receiving protective services, and for some families with incomes at or below the poverty level.

The Child and Dependent Care Credit provides tax assistance to families who pay for child care in order to work in paid employment or look for work. The amount of credit is based on income, the number of dependents, and the amount of child care expenses. Families with adjusted gross income of less than or equal to USD 15 000 are eligible to receive a child care credit of 35 per cent of qualifying child care expenses. Families with higher income receive a lower credit, with the rate falling to 20 per cent for individuals and couples with adjusted gross incomes above USD 43 000. In 2006, qualifying child care expenses are capped at USD 3 000 for one child and USD 6 000 for two or more children. Thus the maximum value of the credit is USD 1 050 for an individual or couple with one child and adjusted gross income below USD 15 000 and USD 2 100 for a low-income family with two or more children. The credit is not refundable and so families that do not pay taxes do not benefit from the credit.

7.2.3 *Calculation of gross benefit*

See above.

7.2.4 *Income and earnings disregards*

Twenty-one states disregard Social Security Income (SSI), 10 states disregard TANF cash assistance income, 21 states disregard energy assistance, 18 States disregard the value of housing assistance, and approximately 22 states disregard Federal and state earned income tax credits when calculating the child care subsidy benefit.

7.3 *Tax treatment of benefit and interaction with other benefits*

No states are known to treat CCDF or TANF assistance as taxable.

7.4 *Treatment of particular groups*

States decide whether to target certain populations for CCDF subsidies. As reported in State Plans for fiscal years 2006 and 2007, 24 states give first priority for child care subsidies to families receiving TANF cash assistance and/or families transitioning off TANF. Nine states identified multiple priorities, without ranking: families with children with special needs, very low-income families, TANF recipients, and teen parents, among others. Fifteen states and three territories make families with children with special needs and families with very low incomes a first priority. Three states give first priority to families of children receiving protective services. Examples of other populations that are given special priority by one or more States are: families receiving, families with medical emergencies, parents who are students in post-secondary education, parents in homeless or spousal-abuse shelters, children in protective services or in foster care, and children in need of before and after-school care. Families receiving or leaving TANF cash assistance also may have priority for TANF-direct child care subsidies, though such subsidies also are often provided to other families as well.

8. Employment-conditional benefits

The Earned Income Tax Credit (EITC) is a refundable tax credit. Eligible for EITC are working families with children under 19 (or under 24 if full-time student, or any age if permanently or totally disabled) and childless working persons aged between 25 and 65 that meet certain income thresholds. (See section 10.1.1.)

9. Lone-parent benefits

None.

10. Tax system

10.1 Income tax schedule

10.1.1 Tax allowances and credits

- *Basic reliefs:* In 2007 married couple filing a joint tax return is entitled to a standard deduction of USD 10 700. The standard deduction is USD 7 850 for heads of households and USD 5 350 for single individuals.
- In addition to the standard deduction, in 2007 a USD 3 400 personal exemption is given every taxpayer (including both husband and wife filing a joint return). The personal exemption is indexed annually for inflation. The deduction for personal exemptions is reduced by one and one-third percent (\$44.33) for each USD 2 500 by which the taxpayer's income exceeds USD 234 600 for married couples, USD 156 400 for single taxpayers, and USD 195 500 for heads of households. All of a taxpayer's exemptions are phased out simultaneously.
- For each child under 17 claimed as a dependant, the taxpayer is entitled to a credit of USD 1000, reduced by USD 50 for each USD 1 000 of gross income over USD 110 000 for married couples filing jointly and USD 75 000 for heads of households and individuals. The credit is refundable to the extent of 15 per cent of earned income in excess of USD 11300.
- Low income credit: Earned Income Tax Credit – EITC. Low income workers with qualifying children are allowed a refundable (non-wastable) earned income credit. : For each child and other person claimed as a dependent on a taxpayer's return, the taxpayer is entitled to a dependency exemption of USD 3 400 in 2007. For taxpayers with one child, the credit is 34 per cent of up to USD 8390 of earned income in 2007. For unmarried taxpayers, the credit phases down when income exceeds USD 15390 (at a rate of 15.98 per cent) and phases out when it reaches USD 33241. For married couples filing a joint return, the beginning and end-points of the phase-out range are, respectively, USD 17390 and USD 35241. The earned income threshold and the phase-out threshold are indexed for inflation. For taxpayers with two or more children, the credit is 40 per cent of up to USD 11790 of earned income in 2007. For unmarried taxpayers, the credit phases down when income exceeds USD 15390 (at a rate of 21.06 per cent) and phases out when it reaches USD 37783. For married couples, the beginning and end-points of the phase-out range are, respectively, USD 17390 and 39783. In 1994 and thereafter, low income workers without children are eligible for the earned income credit. In 2007 low income workers without children are permitted a non-wastable earned income credit of 7.65 per cent of up to USD 5590 of earned income. The credit phases down when income exceeds USD 7000 (at a rate of 7.65 per cent) and

phases out when income reaches USD 12590. For married couples, the beginning and end-points of the phase-out range are, respectively USD 9000 and USD 14590. This credit is available for taxpayers at least 25 years old and under 65 years old.

Earned income equals the sum of wages and salaries and net self-employment income minus the deduction for one-half of self-employment taxes.

10.1.2 The definition of taxable income

Gross income minus the above tax exemptions.

10.1.3 The tax schedule

Federal Income Tax rates

Taxable Income Bracket (USD) ¹			Marginal Tax Rate (%)
Single Individual	Joint Return of Married Couple	Head of Household	
0 to 7 825	0 to 15 650	0 to 11 200	10
7 825 to 31 850	15 650 to 63 700	11 200 to 42 650	15
31 850 to 77 100	63 700 to 128 500	42 650 to 110 100	25
77 100 to 160 850	128 500 to 195 850	110 100 to 178 350	28
160 850 to 349 700	195 850 to 349 700	178 350 to 349 700	33
349 700 and over	349 700 and over	349 700 and over	35

1. The taxable income brackets are indexed for inflation.

Local tax in Detroit:

- 2.5 per cent of gross income above a personal exemption. The exemption is USD 600 per family member.

State tax in Michigan:

- The state of Michigan permits a personal exemption of USD 3 300 for the taxpayer, the taxpayer's spouse and each child, an additional USD 600 exemption for each child 18 years old and younger, and taxes income at the rate of 3.9 per cent. Michigan provides a credit for city taxes paid. If the city income tax paid is USD 100 or less, the credit is 20 per cent of the city income tax paid. If the city income tax paid is over USD 100 but not over USD 150, the credit is 10 per cent of the excess of the city income tax paid over USD 100 plus USD 20. If the city income tax paid is over USD 150, the credit is 5 per cent of the excess of the city income tax paid over USD 150 plus USD 25.

10.2 *Treatment of family income*

Couples file jointly, but have the option to file separately using a tax schedule with tax brackets that are one-half the joint schedule.

10.3 *Social security contribution schedule*

6.2 per cent of gross earnings is payable as a contribution for old age, survivors, and disability insurance up to a maximum earnings level of USD 97 500. 1.45 per cent on all gross earnings (no limit) for hospital insurance.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

The unemployment benefit is calculated for qualifying part-time workers the same as it is for full-time workers.

11.2 *Special tax and social security contribution rules for part-time work*

Part-time workers only qualify for unemployment insurance if they work more than 20 hours per week or earn more than USD 1 340 per year. There are no specific rules for part-time workers to be eligible to the Earned Income Tax Credit (section 8).

12. *Policy developments*

12.1 *Policy changes introduced in the last year*

The Working Families Tax Relief Reconciliation Act of 2004 extends marriage penalty relief, an expanded 10 percent rate bracket, and an increased child tax credit for tax years 2005 through 2009.

12.2 *Policy changes announced*